

Q&A

“FURTHER RATE CUTS DEPEND ON INFLATION”

Economist Nagesh Kumar, external member of the RBI’s Monetary Policy Committee, on why food inflation is more manageable this year but crude could be a concern

BY SURABHI

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NAGESH KUMAR, external member of the Monetary Policy Committee of the Reserve Bank of India and Director and Chief Executive of the Institute for Studies in Industrial Development (ISID), says India remains a bright spot in the global economy because of its lower dependence on global trade, strong macro fundamentals and a diversified crude oil basket. In

committee has cut rates thrice in 2025, including a 50-basis-point cut in the last policy review. Is there space for further rate cuts, as is being factored in by the markets?

It depends on inflation. If inflation stays within 3% for instance, there would be more space for rate cuts, but if inflation shoots up to 4%, then there may be lim-

in the bank? It needs to be ensured that a real, positive rate of return on investment is provided, and savings remain incentivised. Keeping that in mind, the repo rate should be higher than the rate of inflation so that there is a net real rate of interest.

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Do you think the RBI rate cuts will finally nudge corporate prof-

because of the heightened global uncertainty and some amount of subdued demand in urban areas. Hopefully, the rate cut that the RBI has delivered in the last four or five months of 100 basis points will help reduce the cost of capital, and we hope it will revive demand for consumer durables, housing and other goods; and by lowering the cost of capital, it will also help improve private investments. But it also depends on trade and tariff policies of the US. While the reciprocal tariffs are under suspension for 90 days and India is negotiating a trade agreement with the US, companies are waiting to see the position on July 9 to get more clarity on tariffs.

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What do the ongoing conflicts, including the recent US-Israel war, spell for the economy?

It would certainly impact global economic prospects.

“THE CORPORATE SECTOR HAS BEEN REPORTING GOOD PROFITS, BUT IS USING IT TO DELEVERAGE THEIR BALANCE SHEETS RATHER THAN INVESTING”

an interview to **Business Today**, he explains why 6.5% GDP growth in FY26 remains achievable, despite elevated global crude oil prices. Edited excerpts:

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The monetary policy

ited space. A positive real interest rate is needed to ensure that savings are not disincentivised. If you put your money in the bank and you’re not getting any return, whatever you’re getting is being impacted by inflation. Why would anybody put their savings

itability and investment plans in the ongoing fiscal year?

Yes, for some time, the corporate sector has been reporting good profits, but they are using those cash flows to deleverage balance sheets rather than investing. This is largely